

CHAPTER – 4

ACCEPTANCE

A proposal when accepted becomes a promise. It is only after acceptance that a contract between two parties can arise.

MEANING:

According to Section 2(b) of the Indian Contract Act, 1872, when the person to whom the proposal is made, signifies his assent there to, the proposal is said to be accepted.

A proposal when accepted becomes the promise.

Thus, it can be inferred that a person making the proposal does not become bound thereby until acceptance.

WHO CAN GIVE VALID ACCEPTANCE?

Specific Offer: The person to whom offer is made

General Offer: Anyone who come forward and perform the condition [Recall - Carlill v Carbolic Smoke Ball Co.]

ESSENTIALS OF A VALID ACCEPTANCE-

1. Acceptance must be absolute and unqualified

It is essential that an acceptance must be absolute and unqualified [unconditional]. When the letter of acceptance contemplates further negotiations, it will result in a qualified acceptance which would amount to rejection of the offer.

Illustration: Mr. Shivam offers to sell his house to Mr. Aditya for Rs. lakhs. B accepts the offer and promises to pay the price in four installments. This is not pay the acceptance as the acceptance is with variation in the terms of the offer.

Please Note: Mirror Image Rule – If you accept the offer, you must accept an offer without any modification.

2. Acceptance must be communicated

As the offer needs to be communicated, so does the acceptance. Acceptance to be legally effective must be communicated and brought to the knowledge of the offeror. Even if the acceptor has

accepted the offer but if it is not communicated properly, it would not result into an agreement.

Case Law: Brogden v. Metropolitan Railway

Facts in brief- A agreed to supply coal to a railway company. Agents of both parties met, and a draft agreement was drawn. Agreement was approved by A, and then sent to manager of the Railway Company for his acceptance. The manager approved the draft and put it in the drawer of his table, and the agreement remained there without final approval being signified.

Held- No valid contract is concluded between the parties as the acceptance was not communicated.

Acceptance of offer must be made by offeror

The acceptance can be treated as valid only if it is communicated to the offeror either by offeree or by person duly authorized in this behalf. Communication made by unauthorized person does not result in contract.

Case law: Powel v. Lee

Facts in brief: A applied for the headmastership of a school. He was selected by the appointing authority but the decision was not communicated to him. However, one of members in his individual capacity informed him about the selection. Subsequently, the appointing authority cancelled its decision. A sued the school for breach of contract.

Held: The Court rejected the A's action and held that there was no notice of acceptance. Information from an unauthorized person is as insufficient as over hearing from behind the door.

Communication of acceptance to wrong person

Communication of acceptance will not bind the offeror.

Case law: Boulton v. Jones

Facts in brief: Mr. A sold his business to his manager Mr. B without disclosing the fact to his customers. Mr. W, who was regular customer, sends an order for the supply of goods to Mr. A by name. Mr. B received the order and supplied the goods. Mr. W, refused to pay the price.

Held: It was held by court that there was no contract between Mr. B and Mr. W because Mr. W never made any offer to Mr. B and so he is not liable to pay the price to Mr. B.

COMMUNICATION

An acceptance must be communicated; therefore, silence cannot be considered as an acceptance.

1. Communication when complete

- (a) Communication of proposal- The communication of proposal is complete when the proposal comes to the knowledge of the acceptor.
- (b) Communication of acceptance- The communication of acceptance is divided into two rules, the instantaneous rule and the non-instantaneous rule.

Instantaneous rule- In this rule the distance between the parties is immaterial also in this rule the acceptance is received at the same time when it is made. In this case the proposer has an opportunity of revoking his proposal but the acceptor does not have an opportunity of revoking.

Place of contract- In instantaneous rule the place of contract is where the acceptance is received(heard).

E.g.- Phone call, text messages and WhatsApp etc.

For instance, 'A' and 'B' are talking on a phone, 'A' proposes to 'B' to get into a contract and 'B' accepts the proposal. Suppose, 'A' was in Delhi and 'B' was in Jaipur when he accepted the proposal. Here the place of contract will be Delhi, as Delhi is the place where the acceptance is received or heard.

Non-instantaneous rule (postal rule)- In this rule the communication of acceptance is complete in two perspectives, as against the proposer and as against the acceptor.

The communication of acceptance is complete as against the acceptor, when it comes to the knowledge of the proposer.

The communication of acceptance is complete as against the proposer, when it is put into the course of transmission so as to be out of the power of the acceptor.

Place of contract- In non-instantaneous rule the place of contract is the place from which the acceptance is put into the course of transmission.

E.g.- Letter, telegram etc.

For instance, 'A' lives in Delhi, 'B' lives in Jaipur. 'A' makes a proposal to 'B' on 27th January via letter, which was received by 'B' on 29th January. 'B' keeps the proposal for 2 days and sends the acceptance on 31st January at 10:00 A.M. So, on 31st January 10:00 A.M 'A' immediately gets bound. 'B' will only get bound once the letter of acceptance is received by 'A'.

Place of Contract

In case of acceptance by the post, the place where the letter is posted is the place of contract. Where the acceptance is given by instantaneous means of communication (telephone, fax, tele-printer, telex etc.), the contract is made at the place where the acceptance is received,

Case Law: Bhagwandas Goverdhandas Kedia v. Girdharilal Parshotam Das

Facts in brief: Plaintiff offered to get certain goods supplied at Ahmedabad to defendants who accepted the offer at Khamgaon. On defendants' failure to supply requisite goods, plaintiff sued them at Ahmedabad. Dispute arose as to where was contract formed- at Khamgaon where acceptance was given by defendants or at Ahmedabad where acceptance was received by plaintiffs.

Held: In the case of telephonic conversation the position is the same as in the case where the parties are in the presence of each other, and the rule of a contract through post does not apply to such concluded when the letter of acceptance is posted, whereas in the case of acceptance by phone, the contract is deemed to be complete when the offeror hears the acceptance at his end rather than when the acceptor speaks the words of acceptance.

3. Acceptance should be expressed in usual/prescribed manner

As a general rule, the acceptance should be in the manner prescribed by offeror. If no mode is prescribed in which it can be accepted, then it must be in some usual and reasonable manner. If there is deviation in communication of an acceptance of offer, offeror may reject such acceptance by sending notice within reasonable time. If the offeror doesn't send notice or rejection, he accepted acceptance of offer.

Illustration: A offers B and indicates that the acceptance be given by telegram. B sends his acceptance by ordinary post. It is a valid acceptance unless A insists for acceptance in the prescribed manner.

4. Silence/Mental Acceptance is not acceptance

Law does not prescribe silence as a mode of acceptance.

Illustration: A offers to B to buy his house for Rs.5 lakhs and writes "If I hear no more about it within a week, I shall presume the house is mine for Rs.5 lakhs." B does not respond. Here, no contract is concluded between A and B.

However, following are the two exceptions to the above rule. It means silence amounts as acceptance of offer.

- Where offeree agrees that non-refusal by him within specified time shall amount to acceptance of offer.
- When there is custom or usage of trade which specified that silence shall amount to acceptance.

Mental acceptance not evidenced by words or conduct does not amount to a valid acceptance.

Case Law: Felthouse v. Bindley

Facts in brief: A offered to purchase B's horse and wrote a letter saying, "If I hear no more about the horse, I shall consider the horse mine at 35 pounds. A in his own mind accepted the offer. But he had not communicated his acceptance to B. To this letter no reply was sent, but B instructed C, an auctioneer, not to sell the horse as it was already sold to A. By mistake, C put up the horse for auction and sold it

Held- A in his own mind accepted the offer. But he had not communicated his acceptance to B.

5. Acceptance should be made when the offer is still subsisting

It has already been mentioned in the previous chapter that offeror is free to withdraw his offer [Recall: Section 6]. The Acceptance should be made when the offer is still subsisting.

6. Acceptance must succeed offer

Acceptance can only be given after receiving the offer. It should not precede the offer.

7. Revocation of Acceptance

An acceptance may be revoked at any time before the communication of the acceptance is complete as against the acceptor, but not afterwards.

Illustration: A proposes, by a letter sent by post, to sell his house to B. B accepts the proposal by a letter sent by post. B may revoke his acceptance at any time before or at the moment when the letter communicating it reaches A, but not afterwards.

8. Time limit for acceptance

If the offer prescribes the time limit, it must be accepted within specified time. If the offer does not prescribe the time limit, it must be accepted within reasonable time.

Illustration: A applied (offered) for shares in a company in early June. The allotment (Acceptance) was made in late November. A refused to take the shares. Held, A was entitled to do so as the reasonable time for acceptance had elapsed.